from one occupation to another, the price gets adjusted.

f. Perfect Knowledge of the Market

All buyers and sellers have a thorough knowledge of the quality of the product, prevailing price etc.

g. No Government Intervention

There is no government regulation on supply of raw materials, and in the determination of price etc.

5.5.2 Perfect Competition: Firm's Equilibrium in the Short Run

In the short run, at least a few factors of production are fixed. The firms under Perfect Competition take the price (10) from the industry and start adjusting their quantities produced. For example Q_d= 100 – 5P and Q_s=5P. At equilibrium Q_d=Q_s. Therefore 100-5P=5P

100 = 10P; 100/10 = P

P = 10

Q_d = 100-5(10)

100-50 = 50

Q_s = 5(10)=50

Therefore 50 = 50

Q_d = demand

P = Price

Q_s = Supply

This diagram consists of three panels. The equilibrium of an industry is explained in the first panel. The demand and supply forces of all the firms interact and the price is fixed as ₹10. The equilibrium of an industry is obtained at 50 units of output.

In the second part of the diagram, AC curve is lower than the price line. The equilibrium condition is achieved where MC=MR. Its equilibrium quantity sold is 50. With the prevailing price, ₹10 it experiences super normal profit. AC = ₹8, AR = ₹10.

Price & Output Determination-Perfect Competition during Short Run

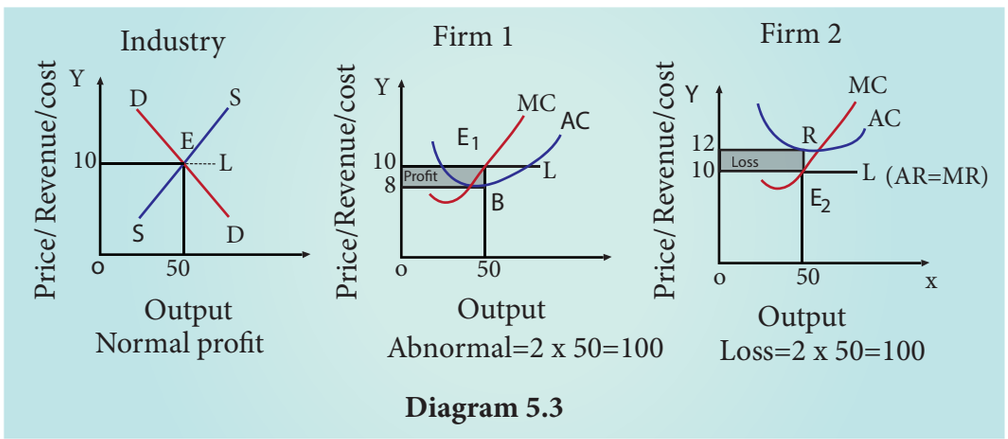


Diagram 5.3

SS – market supply
DD – market demand
AR – Average Revenue
AC – Average Cost
MR – Marginal Revenue
MC – Marginal Cost

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